EXCLUSIVE

IAS PRELIMS 2026

CURRENT AFFAIRS

REVISION

GS-1 (DYNAMIC)

MODULE – 91

INDIAN ECONOMY - 21

S&P GLOBAL DECIDED TO UPGRADE INDIA'S LONG TERM SOVEREIGN DEBT RATING

- S&P Global decided to upgrade India's long term sovereign debt rating from BBB- to BBB and short-term ratings from A3 to A2.
- S&P has said that it expects India's cautious fiscal and monetary policy to moderate the government's elevated debt and interest burden over the next 24 months.
- It has assigned a stable outlook, citing continued policy stability and high infrastructure investments, which will support long term growth.
- S&P expects the impact of US tariffs on the Indian economy to be "manageable" and estimates 6.8% GDP growth over the next three years.
- The report lauds India for a remarkable comeback from the pandemic, averaging real GDP growth of 8.8% between FY22 and FY24.

India's sovereign rating of BBB after the upgrade is still just two notches above speculative grade.

No	S&P	Moody's	Fitch	Meaning and Color
1	AAA	Aaa	AAA	Prime
2	AA+	Aa1	AA+	High Grade
3	AA	Aa2	AA	
4	AA-	Aa3	AA	
5	A+	A1	A+	Upper Medium Grade
6	A	A2	A	
7	A-	A3	A-	
8	BBB+	Baa1	BBB+	Lower Medium Grade
9	BBB	Baa2	BBB	
10	BBB-	Baa3	BBB-	
11	BB+	Ba1	BB+	Non Investment Grade Speculative
12	BB	Ba2	BB	
13	BB-	Ba3	BB-	
14	B+	B1	B+	Highly Speculative
15	B	B2	B	
16	B-	B3	B-	
17	CCC+	Caa1	CCC+	Substantial Risks
18	CCC	Caa2	CCC	Extremely Speculative

OVERALL, THE MACRO-ECONOMIC INDICATORS FOR INDIA ARE QUITE ROBUST!

- India's growth has been stable and the path for the years ahead is quite promising.
- Fiscal consolidation has been carried out quite aggressively. Moreover, there was no large-scale largesse during the pandemic.
- Quality of the expenditure has been improving with focus on Capex. The impact on infrastructure is quite visible.
- Inflation has largely been under control.
- Monetary policy has been streamlined and has effectively navigated the growth-inflation trade off.
- External sector has been an epitome of resilience.
- India is attracting FDI and FPI.
- Indian bonds were included in global indices such as JPMorgan and Bloomberg.

WHAT IS GOING TO HAPPEN BECAUSE OF THIS RATINGS UPGRADE?

- The ratings upgrade will likely to temper borrowing costs for Indian companies and financial institutions keen to borrow overseas.
- It could support FDI flows into the government securities market.
- It makes other rating firms like Moody's and Fitch reconsider their position on India. This sends a positive signal on the strength of the economy.
- However, in the near term, the upgrade may create pressure on the government to persist with conservative fiscal policies. This could reduce the headroom for fiscal measures to offset the US tariff threat.

ECI INITIATED STEPS TO DELIST 345 RUPPs

- The Election Commission of India has initiated steps to de-list 345 Registered Unrecognized Political Parties (RUPPs) that have not contested elections in the last six years and whose offices could not be physically located.
- The right to form an association is a fundamental right guaranteed under Article 19(1)(c) of the Constitution to all citizens. Political parties are an association or body of individuals that can be formed by citizens.
- Section 29A of the Representation of the People Act, 1951 (RP Act) lays down the requirements for registration of a political party with the ECI. Any political party that seeks registration should submit a copy of its memorandum/constitution within 30 days of its formation. After looking at various conditions, the ECI registers them as RUPPs.

BENEFITS ENJOYED BY THE RUPPs

- Tax exemption for donations received under Section 13A of the Income Tax Act, 1961.
- A common symbol for contesting general elections to the Lok Sabha/State Assemblies,
- 20 'star campaigners' during election campaigns.

CERTAIN DETAILS ARE REQUIRED TO BE MAINTAINED

- RUPPs are required to maintain the details of individual donors who have donated above Rs. 20,000 in a financial year and submit these details to the ECI every year. As per Section 29C of the RP Act, failure to furnish these details will result in losing income tax exemption.
- The RUPPs under the Income Tax Act, 1961, are further required to accept donations in excess of Rs. 2,000 only through cheque or bank transfers.

THE ECI DOES NOT HAVE EXPLICIT POWERS TO DE-REGISTER ANY POLITICAL PARTY

Learning Space

- As per ECI notification, there are more than 2,800 RUPPs in India as of May 2025. However, only around 750 of them contested the 2024 general elections. It has resulted in the moniker - 'letter pad parties' - for the rest of the RUPPs.
- The RP Act does not confer explicit powers on the ECI to de-register any political party if it fails to contest elections, conduct inner-party elections or lodge requisite returns.
- The Supreme Court in Indian National Congress versus Institute of Social Welfare & Others (2002) had held that the ECI does not have the power to de-register any political party under the RP Act. It may de-register only under exceptional circumstances such as the registration being obtained by fraud or the political party ceasing to have allegiance to the Indian Constitution or if it is declared unlawful by the Government.

What do you know about the Credit Guarantee Scheme for microfinance institutions recently announced by the Centre?

The Microfinance Portfolio of Banks and NBFCs has shrunk by 18% in the nine months to December 2025 on top of a 14% contraction in FY25. However, the sector has grown at an annual rate of over 18% in the five years from FY19 to FY24.

- The National Credit Guarantee Trustee Company (NCGTC) will provide credit guarantees worth Rs. 20,000 crore to banks or financial institutions against loans to NBFCs or micro-finance firms that cater to micro-borrowers until June 30, 2026.
- NCGTC will guarantee against 70% of defaults from loans to large NBFCs, 75% to medium ones and 80% to small firms for a maximum period of 3 years.
- To avail this offer, banks/lending institutions need to ensure that the interest rates at which NBFCs or microfinance firms on lend to their borrowers is capped at their EBLR (External Benchmark Linked Lending Rate) or MCLR plus 2%.
- Banks, to avail of the scheme, need to ensure that at least 5% of their loans are disbursed to small NBFCs and 10% to medium ones.

What do you know about the recent restoration of Default Loss Guarantee (DLG) by the RBI?

- The RBI has restored the use of Default Loss Guarantees (DLGs), for non-bank lenders, rolling back 2025 curbs that had forced them to make higher provisions on loans sourced through fintech partners.
- NBFCs can now factor in DLGs when setting aside buffers for potential loan losses, provided the guarantee forms an integral part of the loan arrangement. The regulator also said lenders must upgrade their loss estimates each time the guarantee is invoked, as the protection available reduces with every use.
- For NBFCs, this change reduces the provisioning pressure, improves profitability, and frees up balance sheet capacity for fresh lending. For Fintechs, it would encourage greater loan origination. This is considered a significant relief for NBFCs that are engaged in digital lending partnerships with Fintech Lending Service Providers (LSPs).

This enables NBFC-Fintech partnerships to expand access to underprotected retail customer segments.

UNION BUDGET 2026-27

Learning Space

BUDGET AT A GLANCE

REVENUE RECEIPTS
Rs. 35,33,150 Cr

+

CAPITAL RECEIPTS
Rs. 18,14,165 Cr
(Other receipts –Rs. 80,000 Cr, Borrowings & Others – Rs. 16,95,768 Cr)

=

TOTAL RECEIPTS
Rs. 53,47,315 Cr

TOTAL EXPENDITURE
Rs. 53,47,315 Cr

FISCAL DEFICIT
Rs. 16,95,768 Cr
(4.3% of GDP)

REVENUE DEFICIT
Rs. 5,92,344 Cr
(1.5% of GDP)

EFFECTIVE REVENUE DEFICIT
Rs. 99,642 Cr
(0.3% of GDP)

PRIMARY DEFICIT
Rs. 2,91,796 Cr
(0.7% of GDP)

UNION BUDGET 2026-27

RECEIPTS

REVENUE RECEIPTS

TAX REVENUE RECEIPTS

DIRECT TAXES

CORPORATION TAX
Rs. 12,31,000 crore

TAXES ON INCOME
Rs. 14,66,000 crore

+

INDIRECT TAXES

UNION EXCISE DUTIES
Rs. 3,88,910 crore

GST
Rs. 10,19,020 crore

CUSTOMS DUTY
Rs. 2,71,200 crore

TAXES ON UNION TERRITORIES
Rs. 10,256 crore

=

GROSS TAX REVENUE
Rs. 44,04,086 crore

-

STATE'S SHARE
Rs. 15,26,255 crore

HENCE

CENTRE'S NET TAX REVENUE
Rs. 28,66,922 crore

UNION BUDGET 2026-27

Learning Space

RECEIPTS

REVENUE RECEIPTS

NON-TAX REVENUE RECEIPTS

INTEREST RECEIPTS
Rs. 41,763 crore

DIVIDENDS AND PROFITS
Rs. 3,91,000 crore

+

EXTERNAL GRANTS
Rs. 2,327 crore

OTHER NON-TAX REVENUE
Rs. 2,29,373 crore

RECEIPTS OF UNION TERRITORIES
Rs. 1,765 crore

=

NON-TAX REVENUE
Rs. 6,66,228 crore

CENTRAL GOVT.

CENTRE'S NET TAX REVENUE
Rs. 28,66,922 crore

+

NON-TAX REVENUE
Rs. 6,66,228 crore

=

TOTAL REVENUE RECEIPTS
Rs. 35,33,150 crore

UNION BUDGET 2026-27

RECEIPTS

CAPITAL RECEIPTS

NON-DEBT RECEIPTS		DEBT RECEIPTS		TOTAL CAPITAL RECEIPTS
RECOVERIES OF LOANS AND ADVANCES Rs. 38,397 crore	+	DEBT RECEIPTS Rs. 16,95,768 crore	=	TOTAL CAPITAL RECEIPTS Rs. 18,14,165 crore
OTHER RECEIPTS Rs. 80,000 crore				

UNION BUDGET ₹ 2026-27

TOTAL RECEIPTS		TOTAL EXPENDITURE

TOTAL REVENUE RECEIPTS
Rs. 35,33,150 crore

+

TOTAL CAPITAL RECEIPTS
Rs. 18,14,165 crore

=

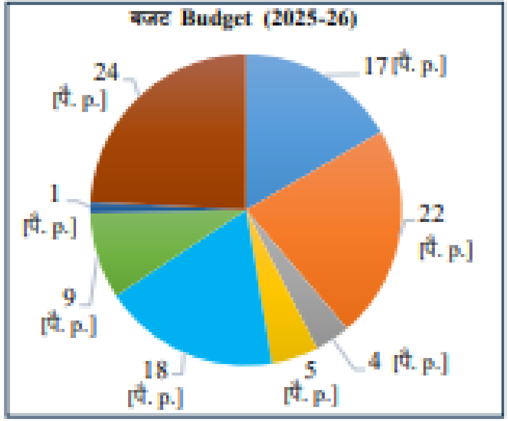
TOTAL RECEIPTS
Rs. 53,47,315 Cr

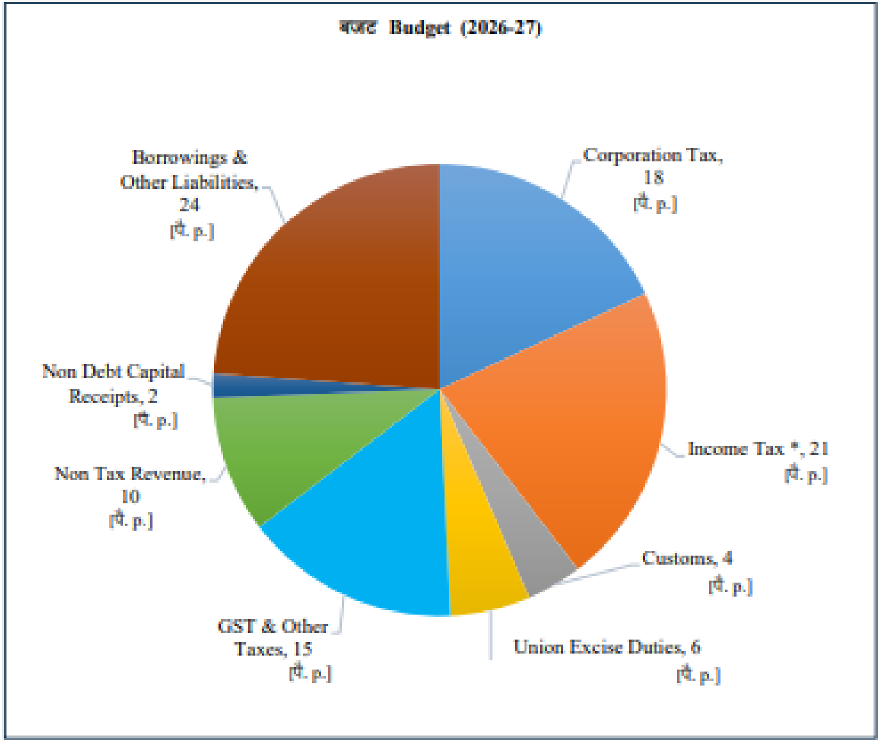
=

TOTAL EXPENDITURE
Rs. 53,47,315 Cr

UNION BUDGET 2026-27

HOW THE RUPEE COMES FROM





UNION BUDGET 2026-27

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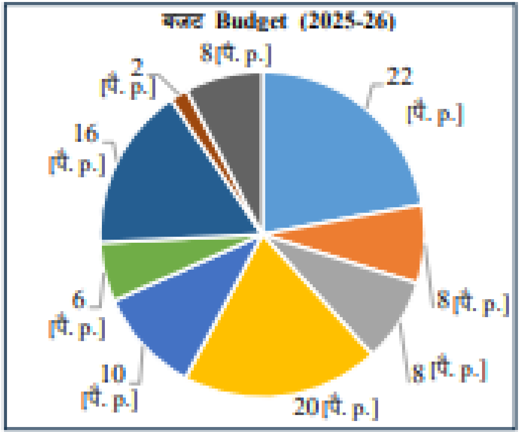
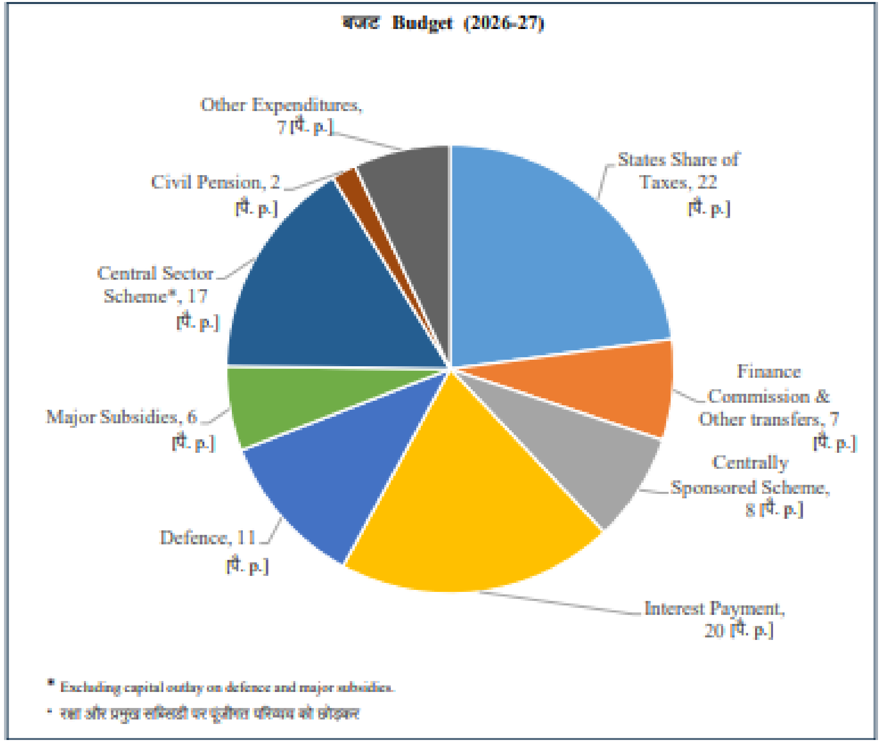
HOW THE RUPEE GOES TO....





UNION BUDGET 2026-27

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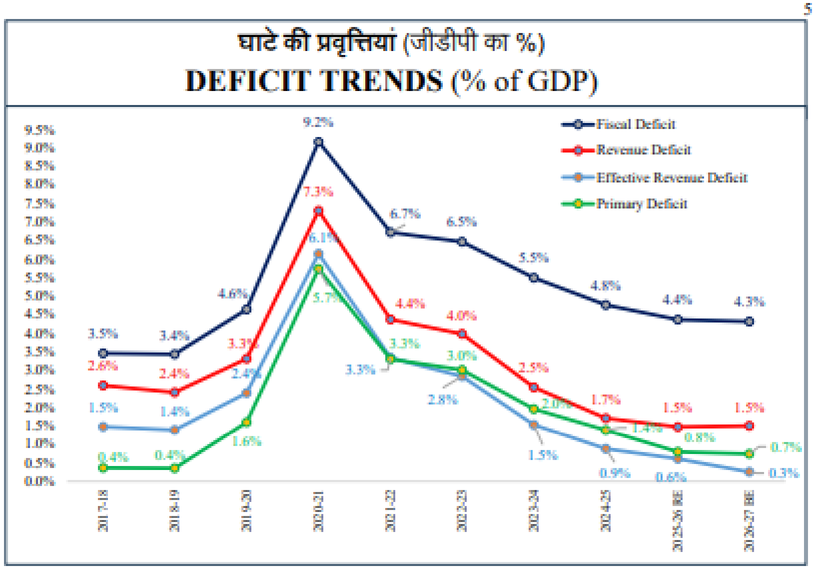
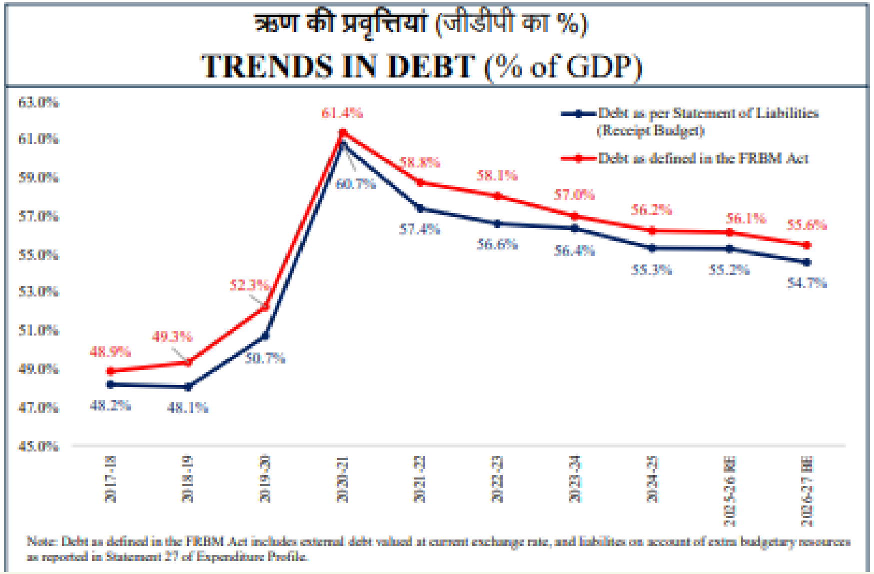
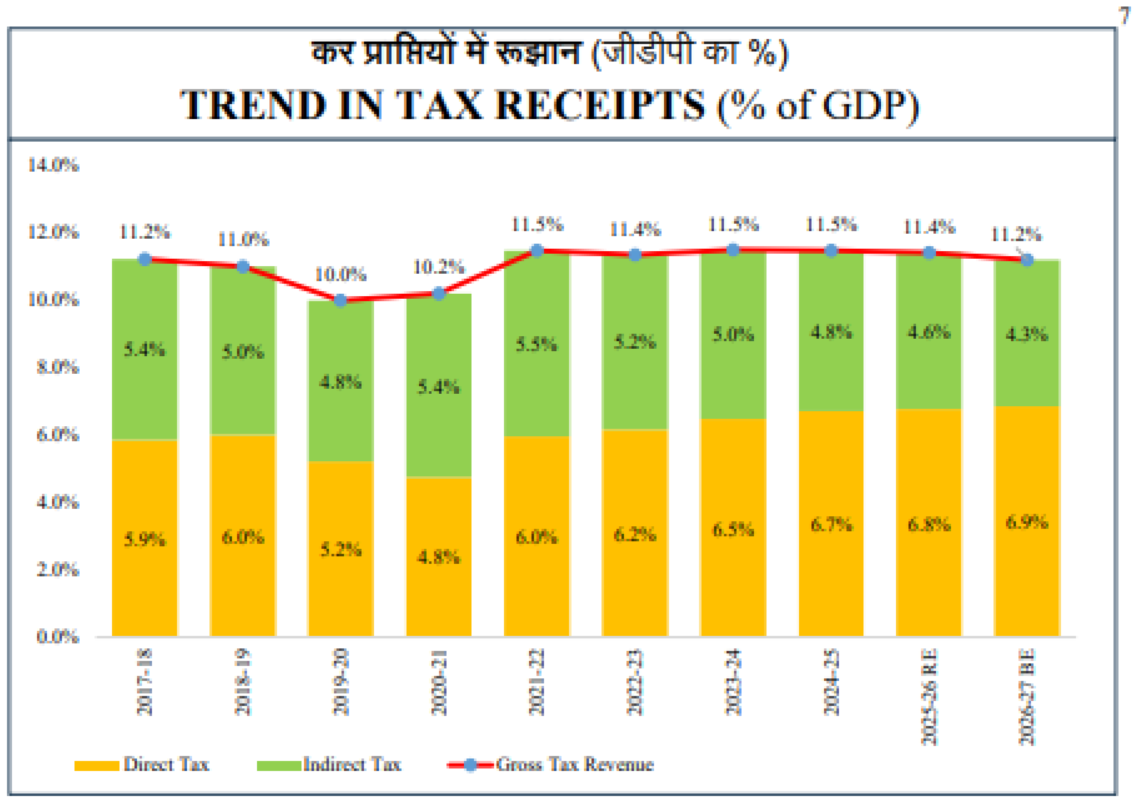




राजकोषीय घाटा वित्तपोषण के स्रोत Sources of Financing Fiscal Deficit

(₹ करोड़) (In ₹ crore)

		2024-2025 वास्तविक Actuals	2025-2026 बजट अनुमान Budget Estimates	2025-2026 संशोधित अनुमान Revised Estimates	2026-2027 बजट अनुमान Budget Estimates
1. ऋण प्राप्तियां (निवल)	1. Debt Receipts (Net)	1573823	1566452	1512770	1663066
i. बाजार उधार (सरकारी प्रतिभूति) *	i. Market Borrowings (G-sec) *	1074512	1153834	1040439	1173210
ii. अल्पकालीन उधार (राजकोषीय हुंडी आदि)	ii. Short term Borrowing (T-Bill etc.)	-160154	0	0	130000
iii.अल्प बचतों की तुलना में प्रतिभूतियां	iii. Securities against Small Savings	429502	343382	372192	386772
iv.राज्य भविष्य निधियां	iv. State Provident Funds	3999	5000	3800	3500
v. अन्य प्राप्तियां (आंतरिक ऋण निधि और लोक लेखा)	v. Other Receipts (Internal Debts and Public Account)	178692	40746	75877	(-)45801
vi.विदेशी ऋण	vi. External Debt	47271	23490	20462	15385
2. नकद शेष में आहरण द्वारा कमी	2.Draw Down of Cash Balance *	608	2484	45722	32702
कुल जोड़ (राजकोषीय घाटा)	Grand Total (Fiscal Deficit)	1574431	1568936	1558492	1695768


7
कर प्राप्तियों में रुझान (जीडीपी का %)
TREND IN TAX RECEIPTS (% of GDP)
14.0%
12.0%
10.0%
8.0%
6.0%
4.0%
2.0%
0.0%
11.2%
11.0%
10.0%
10.2%
11.5%
11.4%
11.5%
11.5%
11.4%
11.2%
5.4%
5.0%
4.8%
5.4%
5.5%
5.2%
5.0%
4.8%
4.6%
4.3%
5.9%
6.0%
5.2%
4.8%
6.0%
6.2%
6.5%
6.7%
6.8%
6.9%
2017-18
2018-19
2019-20
2020-21
2021-22
2022-23
2023-24
2024-25
2025-26 RE
2026-27 BE
Direct Tax
Indirect Tax
Gross Tax Revenue

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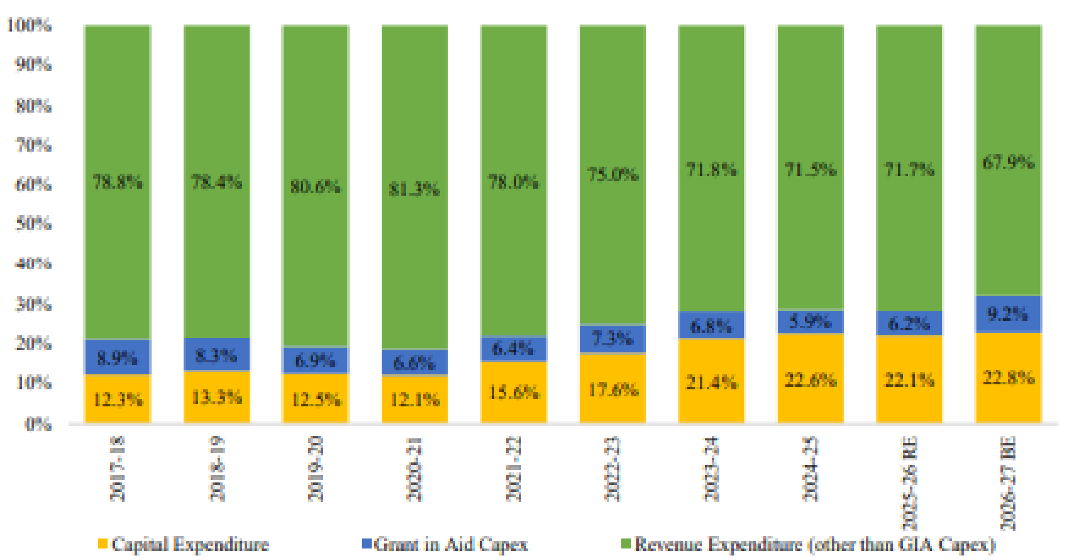
राजस्व और पूंजीगत व्यय की संरचना (कुल व्यय का %)

COMPOSITION OF REVENUE AND CAPITAL EXPENDITURE (% of Total Expenditure)



- प्रगतिशील रूप से, प्रभावी कैपेक्स वर्षों से बढ़ा है जबकि राजस्व लेखा पर व्यय कम हुआ है, जो व्यय की सुधारात्मक गुणवत्ता का संकेत देता है।
- Progressively, share of effective capex has increased over the years while expenditure on revenue account has come down, indicating improved quality of expenditure.

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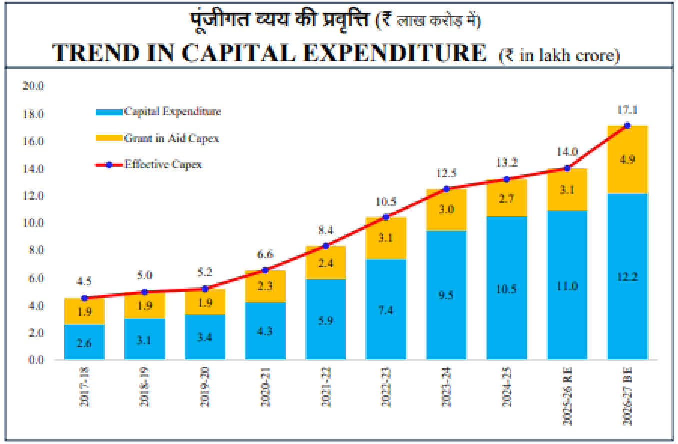

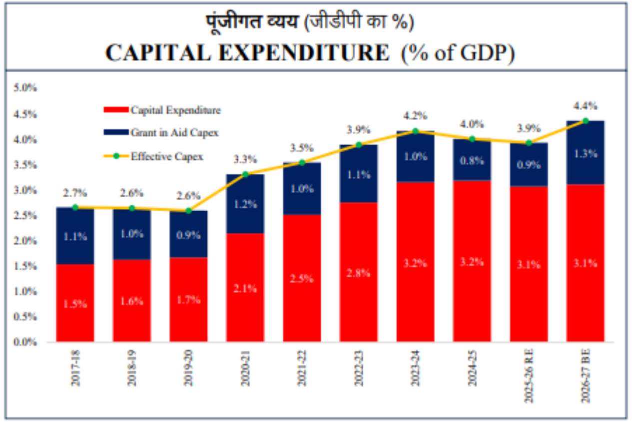

सरकार का प्रभावी पूंजीगत व्यय
Effective Capital Expenditure of Government

(₹ करोड़) (In ₹ crore)

		2024-2025 वास्तविक Actuals	2025-2026 बजट अनुमान Budget Estimates	2025-2026 संशोधित अनुमान Revised Estimates	2026-2027 बजट अनुमान Budget Estimates
पूंजीगत व्यय	Capital Expenditure	1051953	1121090	1095755	1221821
पूंजीगत आस्तियों के सृजन हेतु सहायता अनुदान	Grants in Aid for creation of capital assets [1]	272656	427192	308151	492702
जोड़	**Total**	**1324609**	**1548282**	**1403906**	**1714523**

UNION BUDGET 2026-27

Learning Space

IMPORTANT ASPECTS ON THE TAXATION FRONT

1. New Income Tax Act, 2025 will come into effect from April 1, 2026. The simplified income tax rules and forms will be notified shortly.
2. Tax Collected at Source (TCS) will be reduced from 5% to 2% for LRS remittances for education and medical purposes.
3. Time available for revising returns extended from 31st December to 31st March with payment of nominal fees.
4. A one-time, six-month foreign asset disclosure scheme for small taxpayers to disclose their overseas income or assets.
5. Non-disclosure of non-immovable foreign assets with aggregate value less than 20 lakh rupees to be provided with immunity from prosecution with retrospective effect from 1-10-2024.
6. STT on futures to be raised to 0.05% from present 0.02%. STT on options premium and exercise of options to be raised to 0.15% from the present rate of 0.1% and 0.125% respectively.
7. MAT is proposed to be made final tax. There will be no further credit accumulation from 1st April 2026. The rate of final tax to be reduced to 14% from the current MAT rate of 15%.

IMPORTANT ASPECTS ON THE TAXATION FRONT

8. Software development services, IT enabled services, KPOs, contract R&D services relating to software development to be clubbed under a single category of IT services with a common safe harbor margin of 15.5%. The threshold for availing safe harbor for IT services to be enhanced from 300 crore rupees to 2000 crore rupees.
9. Any foreign company that provides cloud services to customers globally by using data center services from India to be provided tax holiday till 2047. A safe harbor of 15% on cost to be provided if the company providing data center services from India is a related entity.
10. In the interest of minority shakeholders, buyback for all types of shareholders to be taxed as capital gains. Promoters to pay an additional buyback tax making effective tax 22% for corporate promoters and 30% for non-corporate promoters.

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